CHAPTER 10

# FINANCIAL MARKETS

**CHAPTER ESSENCE AT A GLANCE:**
Examine capital allocation mechanisms: Money Market short-term debt instruments, Primary versus Secondary Capital Markets, stock exchange trading mechanics, and SEBI regulatory functions.

## 4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Allocative Role of Financial Markets:** Channels surplus savings from households to deficit productive business enterprises, determining the rate of capital formation in the economy.

• **Money Market Short-Term Instruments:** Unsecured short-term debt instruments up to one year: Treasury Bills (T-Bills or Zero Coupon Bonds issued by RBI), Commercial Paper, Call Money, Certificates of Deposit, and Commercial Bills.

• **Primary vs Secondary Capital Markets:** Primary market deals in fresh issuance of new securities directly from company to investors; Secondary market provides liquidity by facilitating trading of existing securities between investors.

• **SEBI Statutory Mandate and Powers:** Securities and Exchange Board of India (SEBI) performs regulatory functions (registering brokers), developmental functions (training intermediaries), and protective functions (prohibiting insider trading and fraudulent trade).

## ESSENTIAL FORMULAS & GOVERNING EQUATIONS

$$\text{Financial Market Continuum} = \text{Money Market } (< 1 \text{ Year}) + \text{Capital Market (Long-Term Securities)}$$

*Maturity Spectrum of National Financial Markets*

$$\text{Treasury Bill Yield} \iff \text{Issued at Discount to Face Value} \to \text{Redeemed at Full Par Value}$$

*Zero-Coupon Government Debt Discount Model*

$$\text{Capital Market Bifurcation} = \text{Primary Market (New Issues)} + \text{Secondary Market (Stock Exchange Liquidity)}$$

*Corporate Securities Market Architecture*

$$\text{SEBI Tripartite Mandate} = \text{Protective (Anti-Fraud)} + \text{Regulatory (Licensing)} + \text{Developmental (Training)}$$

*Securities Market Statutory Governance Framework*

## CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** Treasury Bills are issued by the Reserve Bank of India on behalf of the Central Government; they are also known as Zero Coupon Bonds because they carry zero explicit interest.

• **Alert:** Commercial Paper is an unsecured promissory note issued by highly rated creditworthy corporations to meet seasonal working capital or flotation costs (bridge financing).

• **Alert:** Call money is inter-bank borrowing with maturity ranging from 1 day to 15 days, used by commercial banks to maintain mandatory Cash Reserve Ratio (CRR).

## HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

### 1. What is a Treasury Bill (T-Bill)? Why is it also known as a Zero-Coupon Bond? [Score: 2 Marks]

**Answer & Key Valuation Steps:**

• **Definition:** A short-term promissory debt instrument issued by the Reserve Bank of India on behalf of the Government of India to meet short-term fiscal deficits. **[1 Mark]**

• **Zero-Coupon Reason:** It carries no explicit stated interest rate; it is issued at a discount and redeemed at full face value, the difference being the investor return. **[1 Mark]**

### 2. What is Commercial Paper (CP)? State one major use of commercial paper by corporations. [Score: 2 Marks]

**Answer & Key Valuation Steps:**

• **Definition:** An unsecured negotiable promissory note with maturity from 15 days to one year issued by top credit-rated corporate entities. **[1 Mark]**

• **Use:** Bridge Financing, used to finance the flotation expenses (advertising, underwriting) of issuing long-term shares or debentures. **[1 Mark]**

### 3. Distinguish between the Money Market and the Capital Market across three parameters. [Score: 3 Marks]

**Answer & Key Valuation Steps:**

• **Maturity of Instruments:** Money market deals in short-term instruments with maturity up to one year; Capital market deals in medium- and long-term securities. **[1 Mark]**

• **Instruments Traded:** Money market trades T-bills, commercial paper, and call money; Capital market trades equity shares, preference shares, and debentures. **[1 Mark]**

• **Liquidity and Risk:** Money market instruments enjoy high liquidity and negligible credit risk; Capital market securities carry higher risk and variable liquidity. **[1 Mark]**

### 4. Distinguish between the Primary Market and the Secondary Market across three parameters. [Score: 3 Marks]

**Answer & Key Valuation Steps:**

• **Nature of Securities:** Primary market deals strictly with fresh issuance of new securities; Secondary market deals with trading of already existing securities. **[1 Mark]**

• **Parties Involved:** Primary market transactions are between the issuing company and investors; Secondary market transactions occur strictly between investors. **[1 Mark]**

• **Capital Formation:** Primary market promotes direct capital formation by funding enterprises; Secondary market provides liquidity and price discovery without directly funding firms. **[1 Mark]**

### 5. Explain Call Money and Certificate of Deposit (CD) as short-term money market instruments. [Score: 3 Marks]

**Answer & Key Valuation Steps:**

• **Call Money:** Short-term inter-bank borrowing with maturity between 1 day and 15 days, used by commercial banks to manage daily Cash Reserve Ratio (CRR) fluctuations. **[1.5 Marks]**

• **Certificate of Deposit (CD):** Unsecured, negotiable time deposit instruments issued by commercial banks and financial institutions to individuals and corporations during tight liquidity. **[1.5 Marks]**

### 6. State the Protective Functions of the Securities and Exchange Board of India (SEBI). [Score: 3 Marks]

**Answer & Key Valuation Steps:**

• **Prohibiting Insider Trading:** Banning company directors and insiders from using unpublished price-sensitive corporate secrets for personal stock market gain. **[1 Mark]**

• **Checking Fraudulent Practices:** Prohibiting price rigging, misleading advertisements, and manipulative statements that defraud retail investors. **[1 Mark]**

• **Educating Investors:** Conducting investor awareness programs and promoting fair commercial practices in securities trading. **[1 Mark]**

**7. Explain the sequential steps in the Trading and Settlement Procedure on a modern electronic Stock Exchange.** **[Score: 4 Marks]**

**Answer & Key Valuation Steps:**

• **Step 1 & 2:** Selection of a registered broker (providing PAN and opening Demat Account with a Depository Participant) and Opening Bank Account. **[1 Mark]**

• **Step 3:** Placing the Order with broker specifying security, quantity, and limit price; order is entered into the stock exchange computer terminal. **[1 Mark]**

• **Step 4:** Execution of Order by matching buy and sell bids; broker issues a Contract Note within 24 hours containing trade details. **[1 Mark]**

• **Step 5:** Settlement on T+1 Rolling Settlement basis: delivery of shares via demat debit or credit and cash payment settlement through clearing house. **[1 Mark]**